Health-Care Risk, Again

Dylan Thomas doesn't take account of exponentially increasing health-care expenses in senescence when he says, "Old age should burn and rave at close of day; Rage, rage against the dying of the light." The upside of annuities is that they lock away a big chunk of capital to ensure regular payments. The downside is that this capital is not available to meet unexpected health-care shocks or the needs of your children (who have come back home to live with you).[57]

Annuities are initially priced by valuing the expected payments given the health of an individual at the time the annuity is purchased. But health varies over time and after a severe health shock, the value of annuities can decrease substantially. This loss happens exactly when an individual most needs resources to cushion the blow from reduced income. This makes annuities unattractive to hold, especially for investors facing large uncertainty about their health.[58]

Some annuity products, like variable annuities with guaranteed income benefits, allow policyholders to withdraw more than the regular amount (with penalties, of course) in emergencies. But understanding whether these are good deals is hard for most consumers (see They're Complicated, above).

They Already Have Some

Most Americans are entitled to receive Social Security—which is an inflation-indexed annuity. Inflation protection is extremely valuable for recipients but very expensive for the government. According to MetLife, an annuity paying out the maximum Social Security benefit for a couple at age sixty-six would cost almost $1.2 million.[59]

It is possible that Social Security meets the annuity needs of many Americans. Authors like Yogo (2011), however, report that it is still in the average consumer's best interests to purchase additional annuities over those in Social Security. I also bet that the desired retirement lifestyle of the average reader of this book would not be sustained by Social Security.

Social Security is itself underfunded; the Social Security Administration estimates that the fund will be empty in 2033. The additional money required to pay all scheduled benefits is equivalent to 80% of the amount of outstanding U.S. Treasury debt.[60] So it is not only private annuities that have credit risk.

[57] See Sinclar and Smetters (2004), De Nardi, French, and Jones (2010), and Pang and Warshawsky (2010).

[58] Reichling and Smetters (2013) show that the best hedge for most young individuals against time-varying mortality risk is actually life insurance, rather than annuities.

[59] As reported in "Falling Short," *Economist*, April 9, 2011.

[60] Numbers from The 2012 Annual Report of the Board of Trustees of the Federal Old-Age and Survivors Insurance and Federal Disability Insurance Trust Funds. Social Security liabilities do not have the "full faith and credit" backing of the U.S. government and are not counted as a government liability. The liabilities of Fannie Mae and Freddie Mac also didn't have an explicit guarantee, and now the federal government is the sole owner of both entities. Hamilton (2013) estimates the total of all